STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Case 23-G-0225 - Proceeding On Motion Of The Commission As To The Rates, Charges, Rules And Regulations Of The Brooklyn Union Gas Company d/b/a National Grid NY For Gas Service

Case 23-G-0226 - Proceeding On Motion Of The Commission As To The Rates, Charges, Rules And Regulations Of KeySpan Gas East Corporation d/b/a National Grid For Gas Service

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Response Of The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid To Petition For Rehearing

Pursuant to Rule 3.7 (c) of the Department of Public Service's Codes, Rules and Regulations, 16 NYCRR § 3.7 (c), The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies") hereby submit this response to the Petition for Rehearing of We Act For Environmental Justice ("We Act") dated September 13, 2024.[1]

Background

By Order issued and effective August 15, 2024,[2] the New York State Public Service Commission ("Commission") approved with minor modifications and corrections a Joint Proposal that resolved, or provided a framework for resolving, all issues in the above base rate proceedings. One of the areas where the Commission made a minor modification was with respect to the

[1] Hereafter "We Act Rehearing Petition."
[2] Cases 23-G-0025, 23-G-0026 and 23-G-0200, "Order Approving Terms Of Joint Proposal And Establishing Gas Rate Plans, With Minor Modifications And Corrections" (Issued and Effective August 15, 2024) ("August 15 Order").

reporting requirements that the Companies are required to comply with prior to the construction of renewable natural gas ("RNG") interconnection projects. Specifically, the Commission required the Companies to include in reports to be filed at least 90 days prior to the commencement of construction of an RNG interconnection project "an analysis of disproportionate impacts for any projects located in a Disadvantaged Community."[3]

In addition, as part of the package of commitments related to the RNG interconnection facilities included in the Joint Proposal, the Companies agreed to "engage with project developers to discuss options for the developers to monetize and sell credits for the environmental attributes associated with the biomethane provided by the RNG projects that are (1) voluntary (*e.g.*, not credits that are registered for regulatory compliance with the U.S. EPA Renewable Fuel Standard or California LCFS), and (2) sold to an entity located in New York State."[4] In characterizing this commitment in the August 15 Order, the Commission stated, without evidencing any intent to modify the Joint Proposal, that, "[t]he environmental attributes must be (1) voluntary, and (2) sold only to an entity located in New York State."[5]

With respect to these two issues We Act asserts that (1) the Commission committed a legal error "in determining that a disproportionate impacts analysis is required only where an interconnection will be located in a disadvantaged community ("DAC") and not where an interconnection has the potential to disproportionately hinder a DAC," and (2) the Commission should clarify whether the August 15 Order makes a modification to the JP to require that environmental attributes be sold to voluntary purchasers in New York.[6] As discussed more fully below, We Act's claim that the Commission committed a legal error is without foundation and the

[3] *See* August 15 Order at 111.
[4] *See* Section 7.8 of the Joint Proposal at 56.
[5] August 15 Order at 112.
[6] We Act Rehearing Petition at 2.

Commission should clarify that it did not intend to alter the provision of the Joint Proposal that addresses the Companies' obligations with respect to sale of environmental attributes associated with biomethane.

The Commission Did Not Commit A Legal Error In Establishing A Reporting Requirement That Applies To RNG Facilities That Will Be Located In A DAC

In asserting that the Commission committed a legal error by requiring the Companies to submit an analysis of disproportionate impacts only for any RNG project located in a DAC, We Act ignores the fact that the Commission is not under any legal obligation to require the Companies to submit any particular analysis at all regarding the RNG interconnections. Thus, the Commission had discretion to formulate the content of the additional reporting it wished to require. The Commission cannot commit a legal error by failing to require an analysis that is not legally required. As We Act has identified no error of law, its Rehearing Petition should be rejected.

We Act's request for a more comprehensive analysis appears to arise from a mistaken assumption that the CLCPA requires the Commission to perform a detailed environmental analysis of each RNG project before authorizing rate recovery of the Companies' interconnection costs for such projects.[7] In these proceedings, the Companies are seeking only to recover the costs they will incur to interconnect their distribution systems with RNG projects that will independently need to obtain all necessary permits to construct and operate the projects themselves. While CLCPA Section 7(3) requires all State agencies to ensure that their administrative decisions and approvals will not "disproportionately burden disadvantaged communities," and that their decisions will "prioritize reduction in greenhouse gas emission and co-pollutants in disadvantaged communities," these legal obligations do not require the Commission, in approving rate recovery for the interconnection costs associated with an RNG project, to conduct an independent review

[7] *See* We Act Rehearing Petition at 8.

of other State and local agencies' decisions to permit the projects in the first place. In the case of the RNG projects, the agencies that are charged with permitting these facilities should conduct the analysis of projects to the extent required and the Commission's CLCPA-related review should be limited to confirming that all necessary environmental permits have been properly obtained. Thus, there is no need for the Commission to expand the reporting requirements that it established in the August 15 Order and, as such, the Commission clearly did not commit a legal error by imposing the reporting requirement included in the August 15 Order.

The Commission Obviously Did Not Intend To Modify The Provision Of The Joint Proposal That Addresses The Sale Of Environmental Attributes Associated With Biomethane

While the August 15 Order mis-stated the provision of the Joint Proposal that set forth the Companies' obligations to engage with biomethane developers concerning the sale of environmental attributes, there is no indication in the August 15 Order that the Commission meant to modify the Joint Proposal with respect to this provision. Moreover, because the environmental attributes are sold by biomethane project developers, not the Companies, the Commission lacks jurisdiction to regulate the sale of the attributes. In addition, even if the Commission had jurisdiction to regulate the sale of environmental attributes, there is currently no viable market for their sale in New York and it would not make sense for the Commission to effectively eliminate the opportunity for project developers to monetize the attributes until a market develops. Thus, there is no basis for the Commission to clarify its order other than to confirm that it did not intend to modify the Joint Proposal.

Conclusion

For all the foregoing reasons, the Companies respectfully request that the Commission reject We Act's rehearing petition and confirm that it did not intend to modify the Joint Proposal's provision that addresses the sale of environmental attributes associated with biomethane.

Yours truly,

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Dated: September 30, 2024